

Retail Research	IPO Note
Sector: IT Solutions	Price Band (Rs): 107 – 113
23 rd June 2026	Recommendation: NEUTRAL

CSM Technologies Ltd.

Company Overview:

CSM Technologies Limited (CSM) is an IT/ITeS solutions provider specializing in digital transformation and e-governance services. The company operates across India and internationally in over 14 countries through its subsidiaries delivering technology-led solutions across multiple sectors including mining, government & public services, agriculture, industry & trade facilitation, education, healthcare, and tourism. Its business model is primarily project-based and tender-driven, with a strong focus on government contracts. The company's wide range of services include custom software development, e-governance platforms, AI/ML and IoT solutions, GIS-enabled systems, analytics dashboards, ERP systems, and digital logistics platforms. It generates revenue through milestone-based project execution and long-term contracts, supported by recurring engagements.

Key Highlights:

1. Strong presence in Government Tech with diversified multi-sector solutions: CSM specializes in large-scale government and public sector digital transformation projects, deriving 74% of its revenue from government clients in FY25 (64% in 9MFY26). As of 9MFY26, it maintains a diversified sectoral presence across mining (25%), governance (32%), agriculture (15%), education (10%), healthcare (6%), and trade facilitation (13%), offering tailored solutions such as mining compliance systems, logistics platforms, and citizen-centric digital services, resulting in a balanced and well-spread revenue profile.

2. Strong technology-driven capabilities with high client retention and global scalability: CSM leverages advanced technologies such as AI/ML, IoT, GIS, analytics, AR, and cloud, supported by proprietary platforms (e.g., RADO (Random Officer Allocation), RGSL (Random Sampling Location)) and quality certifications like CMMI (Capability Maturity Model Integration) Level 5 and ISO. The company benefits from strong execution and long-term client relationships, with 95% revenue from repeat customers in FY25 (96% in 9MFY26), while sustaining scalable operations across international markets (North America, Africa, Middle East) with 12.6% (6.1% in 9MFY26) revenue contribution in FY25 and a robust order book of Rs 376.4 cr as of Dec'25 (Rs 272.3 cr in FY25).

3. Established presence in a high-entry-barrier industry with integrated capabilities: CSM operates in a high-entry-barrier IT-ITeS space and leverages its execution track record, government empanelment, and domain expertise along with a comprehensive end-to-end digital services portfolio across AI, analytics, emerging technologies, and IT infrastructure to deliver integrated digital transformation solutions.

Key Risks: Client concentration, High dependence on government contracts, Working capital intensity and Execution risk.

View & Valuation: CSM Technologies operates in the high-entry-barrier GovTech space, providing mission-critical digital transformation and e-governance platforms to government and regulated sectors. The company has delivered a CAGR of 11.4%/2.5%/-5.6% in Revenue/EBITDA/PAT respectively over FY23-25. At the upper price band of Rs 113, the issue is valued at 9MFY26 annualized P/E of 30.7x on post-issue basis which looks relatively attractive to its peers. The company has relatively stronger margin profile and benefits from its niche positioning, scalable solution architecture, and structural tailwinds driven by increasing government expenditure on digital infrastructure. The business however, continues to be characterized by high receivables, with receivable days increasing from 58/55 days in FY23/FY24 to 89 days in FY25. Further, company expects this to remain elevated at 129 days in FY26E/FY27E which poses cash conversion and liquidity risks primarily due to milestone-based revenue recognition and elongated payment cycles. Hence, we assign a NEUTRAL rating to the issue and prefer to track its performance for few quarters post listing.

Issue Details	
Date of Opening	24 th June 2026
Date of Closing	29 th June 2026
Price Band (Rs)	107 – 113
Total Issue Size (Rs cr)	~146 @ upper band
Fresh Issue (Rs cr)	~146 @ upper band
Offer for Sale (OFS) (Rs cr)	-
Fresh Issue (No. of shares)	1,29,01,000 shares
Total Issue Size (No. of shares)	1,29,01,000 shares
Face Value (Rs)	10.0
Post Issue Market Cap (Rs cr)	~583 @ upper band
BRLMs	Keynote Financial Services Ltd.
Registrar	KFin Technologies Ltd.
Bid Lot	132 shares and in multiples thereof
QIB shares	50%
Retail shares	35%
NII shares	15%

Objects of Issue	
Particulars	Estimated utilization (Rs cr)
Funding working capital requirements	56.0
Repayment/pre-payment, in full or in part, of certain outstanding borrowings	22.6
Achieving inorganic growth & general corporate purposes	-
Net proceeds from the issue	-

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	3,67,30,332	94.9
Public & Others	19,72,140	5.1
Total	3,87,02,472	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	3,67,30,332	71.2
Public & Others	1,48,73,140	28.8
Total	5,16,03,472	100

Source: RHP, SSL Research

Financial Overview

Particulars (Rs cr)	FY23	FY24	FY25	9MFY26	FY23-FY25 CAGR (%)
Revenue	160.4	196.7	199.2	165.5	11.4
% Growth YoY	-	22.6	1.3	-	-
EBITDA	27.9	23.7	29.3	30.1	2.5
% Growth YoY	-	(14.9)	23.5	-	-
PAT	15.8	12.5	14.1	14.3	-5.6
% Growth YoY	-	(20.7)	12.2	-	-
EBITDA Margin (%)	17.4	12.1	14.7	18.2	-
PAT Margin (%)	9.9	6.4	7.1	8.6	-
ROE (%)	31.5	21.0	18.3	-	-
ROCE (%)	44.3	22.5	22.5	-	-
D/E (x)	0.1	0.5	0.4	0.8	-
P/E (x)	27.6	34.8	31.0	-	-
EV/EBITDA (x)	15.7	19.5	15.9	-	-
CFO	17.4	9.6	8.7	(24.2)	-
CFI	(8.2)	(31.9)	(9.0)	(9.3)	-
CFF	(6.1)	18.8	0.3	34.8	-
FCF	8.1	(20.1)	(1.8)	(30.4)	-

Source: RHP, SSL Research

Peer Comparison – FY26

Particulars (Rs cr)	CSM Technologies*	Trigyn Technologies	Allied Digital Services	Dev Information Technology	Silver Touch Technologies
CMP (Rs @ UB)	113	54	120	28	190
Mkt Cap (@ UB)	583	175	694	160	2,466
Revenue	221	976	968	190	346
EBITDA	40	4	56	3	64
PAT	19	2	36	1	36
EBITDA Margin (%)	18.2	0.4	5.8	1.6	18.5
PAT Margin (%)	8.6	0.2	3.7	0.5	10.4
RoE (%) - Pre issue	20.6	0.3	5.9	0.9	21.3
RoE (%) - Post issue	8.0	0.3	5.9	0.9	21.3
P/E (x)	30.7	87.5	19.3	160.0	68.5
Mkt Cap/Sales (x)	2.6	0.2	0.7	0.8	7.1

For CSM Technologies the Market cap, P/E (x), and Mkt/Sales (x) are calculated on post-issue equity share capital based on the upper price band.

*The figures presented for CSM Technologies are based on annualized 9MFY26 earnings.

CMP for peer company is closing price of 23rd June, 2026.

Source: RHP, SSL Research

SBICAP Securities Limited

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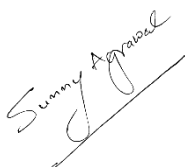
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